

discounted based on balance sheet analysis have a cash burn rate until the time that they achieve a future profitability. This especially applies to many of the smaller technology companies and biotech start-ups that may have prematurely come public in the euphoric environment of 2020–2021. For such companies, cash on hand today may not be available for shareholders tomorrow if it is spent on research and development, customer acquisition, new facilities, or acquisitions.

Another pitfall for investors overly focused on book value is that financial accounting standards are far from perfect. At best, they are an approximation that, like an Impressionist painting, can give a sense of reality without being reality. Accounting is a bit like throwing a dart from the far side of a room. You almost certainly won't hit the bull's-eye, and you may not even hit the target. Hopefully, you'll be close enough, but sometimes you won't be.

One of the many difficulties associated with accounting principles is that they provide a snapshot of a company's finances at a fixed point in time. But things change: companies may have inventories that are subject to rapid obsolescence, receivables that have become uncollectable, and plant and equipment that have become increasingly inefficient, outmoded, or obsolete. Some firms may have large off-balance sheet liabilities, resulting from environmental damage, product defects, or ongoing litigation. On the other side of the ledger, some companies hold "hidden assets," such as real estate that has appreciated far above amortized cost, ownership interest in an increasingly valuable fast-growing subsidiary, or a significantly overfunded pension plan.

The effects of sustained inflation over time have also wreaked havoc with the accuracy of assets accounted for using historic cost accounting. Consequently, two companies owning identical assets could report very different book values. Accounting is, of course, still very useful in the big picture. An approximation is obviously better than no information at all. Also, in some countries, accounting